Solution

In the books of Rajesh

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		20,000	By Sales: Cash	1,72,000	
To Purchases		2,70,000	Credit	3,00,000	4,72,000
To Wages		62,000	By Closing stock		28,000
To Gross profit c/d		**1,48,000**			
		5,00,000			5,00,000
To Salaries		70,000	By Gross profit b/d		1,48,000
To Insurance	45,000		By Discount received		6,000
Less: Unexpired	15,000	30,000	By Provision for bad and doubtful debts (opening)	2,000	
To Rent and taxes		17,000	Less: Closing provision	1,000	1,000
To Depreciation on plant and machinery (1,00,000 × 20%)		20,000			
To Net profit (transferred to capital A/c)		**18,000**			
		1,55,000			**1,55,000**

Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
Capital	1,76,000		Plant & Machinery	1,00,000	
Add: Net profit	18,000		Less: Depreciation	20,000	80,000
	1,94,000		Stock-in-trade		28,000
Less: Drawings	44,000	1,50,000	Sundry debtors	50,000	
Sundry creditors		24,000	Less: Provision for bad and doubtful debts (2%)	1,000	49,000
Bank overdraft		20,000	Unexpired insurance		15,000
			Suspense A/c		22,000
		1,94,000			**1,94,000**

Points to remember

- Adjustment entries are the journal entries made at the end of the accounting period to bring into account items which are omitted in trial balance but which relate to the relevant accounting period.
- Adjustment entries are made so that the financial statements represent a true and fair view of profitability and financial position.
- Closing stock is valued at cost price or net realisable value whichever is lower.
- Outstanding expense and income received in advance are current liabilities.
- Prepaid expense and accrued income are current assets.
- Provision is created for bad and doubtful debts and discount on debtors in the current accounting period against debtors of current accounting period.

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